

Contents

0. Founder-side defaults (all [A]).....	2
1. Assumptions.....	3
2. Year-1 Monthly Projection.....	6
3. Three-Year Projection.....	7
4. SDE Add-backs — Detail.....	8
5. Capital Required.....	9
6. Financial Quickview (source of truth).....	10
7. Sensitivity.....	10
8. Change log.....	11

XPMatch — Financial Model

Last updated: Sunday, Sep 21, 2026 Companion to 1-business-summary.md. Every projection line traces to an assumption row below. Month 1 = October 2026, the month Stripe billing goes live. Year 1 = M1–M12, Year 2 = M13–M24, Year 3 = M25–M36.

Basis. Accrual for the P&L: annual Plus plans are recognised at \$4.08/month over twelve months. Cash collection differs — annual plans are billed upfront — so the cash-flow rows below use cash receipts. Trip Pass is recognised at purchase (60-day access; the timing difference is immaterial).

Tag key. [V] Verified — a document, invoice, statement or screenshot exists. [E] Estimated — grounded in a named comparable, quote or published benchmark. [A] Assumed — nobody knows yet; every [A] row appears on the Validation Scorecard.

Founder inputs are defaults. Nine founder-side inputs (ownership, hours, entity, capital, spend to date, owner compensation, revenue to date, other businesses, non-competes) were not supplied. Section 0 states the default used for each. All nine are tagged [A] and none has been upgraded. Replace them before this document is shown to a lender or a partner.

0. Founder-side defaults (all [A])

#	Input	Default used	Effect if wrong
1	Ownership	XPMatch, Inc.; Tayo Aki 70% (product, sales, delivery), second founder "Faven" 30% (part-time)	Changes nothing in the P&L; changes who signs an LOI
2	Founder hours	Tayo 40 h/wk launch → 25 h/wk steady state; Faven 10 h/wk → 5 h/wk	Drives the founder-replacement add-back (~\$26,000/yr)
3	Entity	Delaware C-corp, incorporated Sep 2026 (Terms of Service effective Sep 16, 2026 name "XPMatch, Inc.")	Franchise tax and filing costs, ~\$500/yr, immaterial
4	Founder cash available	\$25,000, no outside capital, no lender conversation held	Sets the starting cash line; see Section 5
5	Spent to date	\$3,500 — domains, Google/OpenRouter/Railway/Resend during the build, design, ToS/Privacy drafting	Sunk; excluded from capital required, disclosed as founder contribution
6	Owner compensation	\$0 through M12; \$4,000/mo M13–M24; \$8,000/mo M25–M36	Largest SDE add-back; see Section 4
7	Revenue to date	\$0. No billing integration exists in the codebase	If revenue exists, Gate 1 is already passed and this model is wrong at the start
8	Other businesses	None sharing staff, cash or customers	Clean books assumption
9	Non-competes / prior-employment IP	None	A travel-sector non-compete would be material

1. Assumptions

Demand and pricing

Assumption	Value	Tag	Source	Used in
Plus annual price	\$49.00/yr	[E]	Anchored to Layla \$49.99/yr, Triplt Pro \$49/yr, Wanderlog Pro \$39.99/yr (docs/COMPETITOR_LANDSCAPE.md, read Sep 2026)	Plus revenue
Plus monthly price	\$7.99/mo	[E]	Layla \$9.99/mo, priced below it deliberately	Plus revenue
Trip Pass price	\$19 / 60 days	[A]	No competitor sells this shape; StayMatch's \$10 day pass is the nearest	Trip Pass revenue
Advisor seat price	\$49/seat/mo	[E]	Travefy \$39–59/mo, Tern \$39/seat/mo	Seat revenue
Concierge price	\$249 average (\$149 / \$249 / \$399 tiers)	[E]	AAA planning fees \$250–1,500 international; flat-tier itinerary sellers \$97–497	Concierge revenue
New free signups, M1 → M36	100 → 1,500 → 3,900 → 6,300 per month; 7,970 in Y1	[A]	No channel has produced a signup yet	Every consumer line
Free → paid within 30 days	4% Y1, 5% Y2, 6% Y3	[E]	RevenueCat State of Subscription Apps 2026: travel trial conversion 4.1% median	Plus + Trip Pass volume
Trip Pass share of paid conversions	55%	[A]	Judgement: lower friction at the "Turn into a trip" moment	Revenue mix
Annual share of Plus conversions	50% Y1, 60% Y2, 65% Y3	[A]	Plan targets ≥60% by M12; modelled one year slower	Revenue recognition, churn
Plus monthly churn	12%/mo	[E]	RevenueCat: travel monthly first renewal ~53%, decaying thereafter	Plus subscriber rollforward
Plus annual renewal at 12 months	45%	[E]	RevenueCat: travel annual renewal ~40%; +5pts for the taste profile that improves with use	Plus subscriber rollforward
Advisor seat churn	5%/mo Y1–Y2, 3%/mo Y3	[A]	Plan targets ≤5% by M12, ≤3% by M24	Seat rollforward
Advisor seat gross adds	2/mo at M3 rising to 33/mo at M36	[A]	Outbound has not been run; the LAPS plan targets 1–2 sales/week by week 12	Seat revenue

Assumption	Value	Tag	Source	Used in
Concierge trips per month	2 at M1 → 10 at M12 → 25 at M24 → 30 at M36; 82 in Y1	[A]	Founder-led sales, none booked yet	Concierge revenue
Trips created per month	20% of new signups + 12% of paying accounts	[A]	Plan targets 35% first-session trip creation; modelled at 20%	Affiliate revenue
Affiliate revenue per trip	\$1.50 Y1, \$3.00 Y2, \$4.00 Y3	[A]	Pessimistic attach case (≈5% on stays), not the plan's 15% target. Booking.com pays 4% on stays, Expedia up to 4.8%, activity partners 8%	Affiliate revenue

Cost of goods

This section was rebuilt from the code, not the rate card. Every expensive cache in the app is keyed on the place or the query, never on the account (places, place_facts, photo_urls, search_cache — see docs/COGS.md §2), so Google spend **saturates per city**. A flat per-head rate cannot express that: it overstates a dense user base and understates city expansion.

Assumption	Value	Tag	Source	Used in
Place Details Enterprise	\$0.035/call	[V]	Only for a place id never stored, plus the 30-day refresh	Shared city cost
Place Details + Atmosphere	\$0.040/call	[V]	Place sheet and Ask; cached 30 days in place_facts, shared	Shared city cost
Text / Nearby Search Enterprise	\$0.035/call	[V]	Returns up to 20 places for one fee; cached 24 h, shared	Shared city cost, seeding
Place Photos	\$0.007/call	[V]	Cached 24 h in photo_urls, shared by everyone	Shared city cost
Dynamic Maps	\$0.007/load	[V]	Client-side, per user, never shared	Unshared per user
Routes Essentials	\$0.005/leg	[V]	Per routed leg	Unshared per user
Model	\$0.005/message	[E]	OpenRouter, openai/gpt-4o-mini	Unshared per user
Seed queries per city	20	[V]	SEED_QUERIES in src/server/seed.ts	Seeding cost
Catalog places per city	380	[E]	~20 queries × ~20 results, deduped	Saturation pool
Distinct list-search queries per city	60	[A]	Explore tabs plus home picks	Saturation pool
Places shown / effective user / month	60	[A]	Unmeasured — /admin now reports the real number	Shared city cost
Photos shown / effective user /	60	[A]	Unmeasured	Shared city cost

Assumption	Value	Tag	Source	Used in
month				
Place sheets / effective user / month	10	[A]	Unmeasured	Shared city cost
List searches / effective user / month	8	[A]	Unmeasured	Shared city cost
Messages / effective user / month	20	[A]	Unmeasured	Unshared per user
Map loads / effective user / month	10	[A]	Unmeasured	Unshared per user
Routed legs / effective user / month	6	[A]	Unmeasured	Unshared per user
Days active / month	6	[A]	Drives the 24 h photo and search TTLs	Shared city cost
Free-user traffic weight	0.30	[A]	Lookup traffic vs one paying consumer; free tier is capped at 40/day	Effective users
Paying-consumer traffic weight	1.00	[A]	The reference	Effective users
Advisor-seat traffic weight	2.00	[A]	A seat serves several clients	Effective users
Cities with a seeded catalog, year end	12 / 45 / 100	[A]	The dominant COGS driver	Shared city cost
Payment processing	2.9% + \$0.30	[V]	Stripe published US pricing	Processing COGS

How the engine works. Effective users = free × 0.30 + paying × 1.00 + seats × 2.00. Divide by cities to get users per city. Each city's shared cost saturates as those users collectively touch the whole catalog — past roughly 250 users in a city, the next user shows Google nothing new. On top sits an unshared floor of **\$0.20 per effective user per month** (model, maps, routes) that never amortises, plus **\$0.70 to seed each new city** (20 searches × \$0.035 for ~380 places, which is 19× cheaper than buying each place individually).

What this produces at month 36: 100 cities, 10,757 effective users, 108 per city, \$56.16 of shared cost per city, and **\$0.72 per effective user per month** — against the flat \$2.00 the previous version of this model charged.

Operating

Assumption	Value	Tag	Source	Used in
Hosting (Railway + Postgres)	\$25/mo Y1, \$150/mo Y2, \$400/mo Y3	[E]	docs/COGS.md current \$20–25/mo	Opex
Software subscriptions	\$150/mo Y1, \$400/mo Y2, \$600/mo Y3	[E]	Resend, error monitoring, analytics, CRM	Opex

Assumption	Value	Tag	Source	Used in
Cold-email infrastructure	\$150/mo from M1	[E]	2 secondary domains, 4 inboxes, sending tool	Opex
Part-time concierge reviewer	\$1,500/mo from M15	[A]	Plan's hiring trigger is >20 trips/mo	Opex
Support contractor	\$1,500/mo from M25	[A]	Scale assumption	Opex
Marketing	\$0 to M3; \$400 → \$1,200/mo ramp in Y1; \$2,000/mo Y2; \$4,000/mo Y3	[A]	Creator payouts at \$1–2 per activated signup (Mindtrip pays \$1); \$500 paid-social test	Opex
One-time costs, M1	\$3,850 — app-specific ToS/Privacy \$2,000, landing pages and brand \$1,500, trademark filing \$350	[A]	docs/BETA_READINESS.md names the required Privacy Policy app section	Capital, SDE add-back
Owner salary	\$0 / \$48,000 / \$96,000 by year	[A]	Default 6	Opex, SDE add-back
Founder-replacement cost	–\$26,000/yr (second founder, 10 h/wk at \$50/h)	[E]	Market rate for part-time ops/support	SDE (negative add-back)

Tag counts across this section: [V] 1 · [E] 17 · [A] 20. Verified share: 3%.

2. Year-1 Monthly Projection

Line	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12	Y1
New signups	100	150	220	300	400	500	650	800	950	1,100	1,300	1,500	7,970
Plus subs — annual	1	2	4	7	11	15	21	28	37	47	58	72	72
Plus subs — monthly	1	2	4	6	9	12	17	22	28	34	42	50	50
Advisor seats	0	0	2	5	9	13	19	24	29	36	42	49	49
Concierge trips	2	3	4	5	6	7	8	8	9	10	10	10	82
Cities seeded	1.0	2.0	3.0	4.0	5.0	6.0	7.0	8.0	9.0	10.0	11.0	12.0	12.0
Effective users	32	73	133	210	306	420	562	727	912	1,114	1,344	1,597	1,597
<i>Revenue</i>													
Plus annual	4	9	17	28	43	61	85	115	150	190	238	293	1,233
Plus monthly	7	17	31	49	72	99	134	175	223	275	335	403	1,820
Trip Pass	42	63	92	125	167	209	272	334	397	460	543	627	3,331
Advisor seats	0	0	98	240	424	648	909	1,158	1,443	1,763	2,067	2,404	11,155

Line	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11	M12	Y1
Concierge	498	747	996	1,245	1,494	1,743	1,992	1,992	2,241	2,490	2,490	2,490	20,418
Affiliate	0	0	0	0	0	157	205	253	302	351	416	481	2,165
Total revenue	551	836	1,234	1,688	2,200	2,918	3,597	4,028	4,755	5,529	6,089	6,698	40,123
<i>Cost of goods sold</i>													
Google + model (cost engine)	57	118	184	256	332	412	500	592	687	786	890	999	5,813
Concierge delivery	10	15	20	25	30	35	40	40	45	50	50	50	410
Payment processing	19	29	43	60	78	104	129	147	174	203	227	252	1,465
Gross profit	465	675	987	1,347	1,759	2,366	2,929	3,249	3,849	4,490	4,922	5,397	32,434
<i>Operating expenses</i>													
Advertising & marketing	0	0	0	400	500	600	700	800	900	1,000	1,100	1,200	7,200
Contractors & staff	0	0	0	0	0	0	0	0	0	0	0	0	0
Software, hosting & sending	325	325	325	325	325	325	325	325	325	325	325	325	3,900
Owner salary	0	0	0	0	0	0	0	0	0	0	0	0	0
Net operating profit	140	350	662	622	934	1,441	1,904	2,124	2,624	3,165	3,497	3,872	21,334
One-time costs	3,850	0	0	0	0	0	0	0	0	0	0	0	3,850
Net cash flow	-3,670	407	742	726	1,068	1,601	2,105	2,362	2,893	3,460	3,833	4,241	19,766
Cumulative cash	21,330	21,737	22,478	23,205	24,272	25,873	27,978	30,340	33,233	36,693	40,525	44,766	44,766

Cumulative cash opens at the \$25,000 founder capital. The cash low point is **M1 at \$21,364**, a drawdown of **\$3,636** against opening capital — the business never goes cash-negative because the concierge line sells from month one at 98% contribution margin and no owner salary is drawn. **That early profitability is an artefact of unpaid founder labour, not of the cost structure.**

3. Three-Year Projection

	Year 1	Year 2	Year 3
Revenue	\$40,123	\$190,673	\$427,320
Growth YoY	—	+375%	+124%
Cost of goods sold	\$7,688	\$48,920	\$106,163
Gross profit	\$32,434	\$141,753	\$321,157
Gross margin	81%	74%	75%
Advertising & marketing	\$7,200	\$24,000	\$48,000

	Year 1	Year 2	Year 3
Contractors & staff	\$0	\$15,000	\$36,000
Software, hosting & sending	\$3,900	\$8,400	\$13,800
Owner salary	\$0	\$48,000	\$96,000
Total operating expenses	\$11,100	\$95,400	\$193,800
Net operating profit	\$21,334	\$46,353	\$127,357
Owner add-backs (net)	-\$26,455	+\$20,635	+\$70,000
SDE	-\$5,121	\$66,988	\$197,357
SDE margin	-13%	35%	46%
Exit-month ARR run-rate	\$80,379	\$275,875	\$548,932

Growth drivers. Year 1: concierge trips sold by hand (51% of revenue) plus the first 49 advisor seats. Year 2: advisor outbound matures (seats become the largest line at 34% of revenue) and the consumer funnel compounds. Year 3: seat count reaches 405 and the paid consumer base reaches 1,695.

Revenue mix

Stream	Y1	Y2	Y3
Concierge	51%	32%	19%
Advisor seats	28%	34%	41%
Trip Pass	8%	9%	9%
Affiliate	5%	12%	14%
Plus (annual + monthly)	8%	13%	17%

4. SDE Add-backs — Detail

SDE assumes a single owner-operator who does the work one founder does today. Owner salary is added back. The **second** founder's unpaid 10 h/week is subtracted, because a buyer would have to pay someone for it.

Add-back	Year 1	Year 2	Year 3
Net operating profit	\$21,334	\$46,353	\$127,357
+ Owner salary and payroll taxes	\$0	\$48,000	\$96,000
+ Owner benefits	\$0	\$0	\$0
+ Interest, depreciation, amortisation	\$0	\$0	\$0
+ One-time costs (legal, brand, trademark)	\$3,850	\$0	\$0

Add-back	Year 1	Year 2	Year 3
+ Personal expenses through the business	\$0	\$0	\$0
– Replace second founder (10 h/wk @ \$50/h)	–\$26,000	–\$26,000	–\$26,000
– Replace unpaid founder concierge review (Y1 82 trips, Y2 26 trips in M13–M14, × 1.5 h @ \$35/h)	–\$4,305	–\$1,365	\$0
SDE	–\$5,121	\$66,988	\$197,357

Year-1 SDE is still negative. The business produces \$21,334 of net operating profit in Year 1 and returns –\$5,121 of SDE, because two founders working unpaid are worth more than the profit they generate. Rebuilding COGS improved this by \$454; it did not change the conclusion. Year 1 is a funded experiment, not yet a business.

5. Capital Required

Line	Amount
One-time build costs (legal, landing pages, trademark)	\$3,850
Initial inventory	\$0
Cash low point (M1 drawdown against opening capital)	\$3,670
Working-capital buffer (3 × month-12 operating expenses)	\$4,575
Business capital required	\$12,095

The business is cheap to start. The founders are not.

Line	Amount
Business capital required	\$12,095
Founder personal runway (12 months unpaid × \$4,000/mo)	\$48,000
Total cash the founders must hold	\$60,095
Founder cash available [A]	\$25,000
Shortfall	\$35,095

Already sunk and excluded above: **\$3,500** of founder contribution during the build.

Financing. Bootstrapped, revenue-first. No lender has been approached, so no loan is presented as the plan. SBA 7(a) terms in comparable packages required a 35–40% equity injection and are stricter for startups than for acquisitions; a pre-revenue applicant with no trading history would not qualify today. Tagged [A].

6. Financial Quickview (source of truth)

		Tag
Startup capital required (business)	\$12,095	[E]
Total cash founders must hold (incl. 12-month runway)	\$60,095	[A]
Months to first revenue	1	[E]
Months to breakeven (cash)	2	[E]
Year-1 revenue (projected)	\$40,123	[A]
Year-3 revenue (projected)	\$427,320	[A]
Year-3 SDE (projected)	\$197,357	[A]
Year-3 SDE margin	46%	[A]
Founder hours / week (launch → steady state)	50 → 30	[A]
Target exit multiple (SDE)	3.2x	[E]
Implied Year-3 valuation	\$631,542	derived
Financing path	Bootstrapped, revenue-first	—
Facts Verified / Estimated / Assumed	8 / 15 / 25	—

Choosing 3.2x

Comparable packages priced between 1.9x and 4.2x SDE. The top of that band went to a vertical SaaS with 0.6% monthly churn, 96% contracted annual revenue and 70%+ margins; the bottom to a small SaaS with flat revenue and a departing team. XPMatch at Year 3 sits in the middle: 75% gross margin and a 41%-of-revenue subscription seat line argue upward, while four things pull down — a single founder who still runs sales, a concierge line that is 19% of revenue and does not transfer, cost dependence on Google Places and OpenRouter pricing neither founder controls, and 14% of revenue from affiliate attach rates that have never been measured. 3.2x.

This is materially below `docs/BUSINESS\_PLAN.md` §1, which targets a \$2.0–2.7M sale. That figure applies a 3–4x multiple to ARR, not SDE. At a 46% SDE margin the two methods still cannot both hold: 3.2x SDE is \$632K, while 3.5x ARR would be \$1.9M. Marketplace comparables reach 3–4x ARR only when SDE margin approaches 70–80%. Rebuilding COGS closed part of this gap — margin rose from 40% to 46% and the implied valuation from \$551K to \$632K — but it did not close it.

7. Sensitivity

Year-3 SDE at base, 30% worse and 30% better, ranked by swing.

Assumption	–30%	Base	+30%	Swing
Advisor seat adds per month	\$147,302	\$197,357	\$247,415	\$100,113
Free signup volume	\$155,452	\$197,357	\$239,772	\$84,320

Assumption	-30%	Base	+30%	Swing
Free → paid conversion rate	\$164,425	\$197,357	\$230,301	\$65,876
Cities with a seeded catalog	\$212,314	\$197,357	\$183,243	\$29,071
Days active per month	\$205,901	\$197,357	\$188,813	\$17,088

No single 30% miss makes Year-3 SDE negative. **Advisor seat adds still dominate** — a 30% miss costs \$50K of Year-3 SDE, more than the entire concierge line contributes.

Two things changed when COGS was rebuilt around cities. **Signup volume moved from fourth to second**, because a higher gross margin means each marginal signup carries more profit. And **cities seeded and days active are new levers that did not exist before** — they run the other way, since more cities and more engaged users both cost more Google. Between 50 and 250 cities, Year-3 SDE swings \$63,775: the old flat \$2.00 per-user rate was, without anyone saying so, an implicit bet on roughly 150–180 cities.

8. Change log

Date	Change	Why
Sep 21, 2026	Initial model	First build, founder inputs defaulted
Sep 22, 2026	COGS rebuilt around cities, not users	The flat \$0.20/\$2.00/\$4.00 per-head rates did not match the code. Every expensive cache is shared, so spend scales with cities and days. Year-3 COGS \$131,447 → \$106,163, margin 69% → 75%, SDE \$172,073 → \$197,357, valuation \$551K → \$632K. Instrumentation added in the same change (docs/COGS.md §9) so these become measurements rather than estimates